

LEU pitch deck

IBKR tool calls were denied in this non-interactive session, so the live-quote gap stands (fourth denial). The deck is priced off the pack tape and says so.

PITCH — LEU — VERDICT

PROPOSED — PENDING ADJUDICATION — no position, no orders; both benches land on reject, but on different grounds, and the surviving reason is narrow enough that it should be adjudicated rather than assumed.

What we believe

Centrus enriches uranium. It is the only US-owned company running an enrichment cascade on US soil, at Piketon, Ohio, and it is the only domestic source of the high-assay fuel that the next generation of small reactors needs. The government is paying it to build that capability, and reactor developers are signing up for the output years before it exists.

The original case was that the market had marked this down as a story stock while the story was quietly becoming a contract book — a \$4.5 billion backlog against a market value of roughly \$3.7 billion, growing \$600 million in a quarter, stretching to 2040.

That belief did not survive the courts, and we should say so first. The audited filing does not contain that backlog number. What it contains is \$0.8 billion of remaining performance obligations, up from \$0.6 billion at year-end, running to 2030. The gap is explained — about \$3.0 billion of the marketed figure is contingent commitments, and the filing states plainly that it excludes unexercised options and indefinite-quantity government work — but explained is not the same as owned. Firm, contracted demand is \$0.8 billion, or about 22% of the market value, not 123%.

What we still believe, stripped down:

- Enrichment demand is real and rising, and firm obligations grew 33% in six months.
- The Piketon build is genuinely accelerating. Job postings went from 1 a month in March to 23 a month in August, 43 open roles, against a company guide of at least 175 net new hires. Companies that are quietly stalling do not hire like that.
- The company has \$1.87 billion of cash. Whatever else is true, it is not going to run out of money.

What we no longer believe: that the demand side is 5x larger than the audited page says, and that this is an undiscovered name.

What the market believes

The market believes roughly what we believe, and has already written it down.

Seventeen analysts cover the stock. Price targets run \$223 to \$279, against a \$184 tape — so the sell side is bullish by 21% to 72%. At the same time, 21.6% to 23.3% of the float is sold short. That is a stock with a loud argument on both sides and no quiet corner.

Critically: the street's revenue estimate for 2026 is \$459.3 million, sitting at the *bottom* of the company's own \$450–500 million guidance range, and 2026 earnings estimates were cut from \$2.90 to \$2.59. Our thesis named one decisive question — is the second half worse than the first? The street has already answered yes and priced it.

The stock is down 60% from its 52-week high of \$464.25, but it is also up 29.5% from its 52-week low of \$142.13. This is a name that already bounced a third off the bottom. It is not a fresh dislocation.

Why we might have edge

Three places where the work found something the tape may not hold:

1. The hiring signal is a real, forward, non-financial read. Piketon postings went $1 \rightarrow 4 \rightarrow 14 \rightarrow 23$ per month between March and August. This is the single measurement in the entire record that runs *against* the bear case, and both benches conceded it. If the cascade were quietly slipping, the staffing curve would flatten. It has not. Nobody on the street is counting job postings at a single Ohio parcel.

2. The cost side is where the story actually lives, and almost nobody is looking there. The company buys enriched product cheaply under a legacy Russian contract priced in 2018 and running to 2028. A Russian decree from October 2025 has suspended the Russian supplier's US export licence through the end of 2027. Replacement supply from Orano runs to 2030 at a market-linked price, which is higher. So the volume decline this quarter is a *supply* problem, not a demand problem — and it is locked in by policy through 2027. Everyone is arguing about demand. The binding constraint is inputs.

3. The short interest is a mechanism, not just a fact. Twenty-three percent short against \$1.87 billion of cash and a convertible bond that is deep in the money is a squeeze setup. That is a timing instrument if we ever want to own this. It is not a reason to buy, and it is not a reason to reject either.

Why it might be priced in

The honest answer is: it probably is.

The decisive test we set ourselves was whether we saw something the street did not on the second-half slowdown. We ran that test and we failed it. Consensus revenue is already at the low end of guidance and earnings estimates have already been cut. We have no number that differs from the street's number on the question we ourselves called decisive. That is the cleanest reason to pass in this entire record, and it is the reason we are passing.

Supporting that:

- **Valuation is not cheap on anything audited.** Enterprise value is roughly \$3.0–3.4 billion depending on how you treat the convertible bonds, against roughly \$200 million of annualised

gross profit — call it 15x to 17x. And that \$200 million is generous, because the quarter contained a one-time \$53.4 million uranium sale whose profit margin the company did not disclose. Strip a plausible contribution from it and the multiple goes to the low 20s.

- **The dilution is bigger than the thesis assumed.** The convertible principals are \$402.5 million and \$805.0 million, not the \$350/\$700 million in the original brief — those were pre-greenshoe. Full conversion is 7.63 million shares against 19.95 million outstanding: **38% dilution**, with no capped call or hedge disclosed anywhere in the filing.
- **The government prize is capped and slow.** The funded piece is a \$900 million fixed-price task order plus \$170 million of options, to deliver one metric ton of high-assay fuel by March 2032. Against a \$3+ billion enterprise value, the funded contract is smaller than the valuation it is supposed to justify. Real upside has to come from commercial contracts the audited \$0.8 billion does not yet contain.
- **The segment doing the government work is losing money.** Technical Solutions ran a \$1.7 million gross loss this quarter against a \$3.2 million profit a year ago — on a fixed-price contract, while hiring accelerates. (Fairly: over six months that segment is still \$1.9 million profitable on 8% revenue growth. The quarterly loss is a base effect, not a trend. See below — we got this wrong twice.)

What we checked ourselves

Including, explicitly, where our own analysis was wrong. Four of the rows below are our errors, not the company's.

Claim	How checked	Found	Confirmed?
Backlog \$4.5B growing to \$4.5B / 2040	Read the 10-Q for 6/30/2026 verbatim, alongside the same-day press release	The 10-Q never uses “backlog” except for a bankruptcy-era intangible. It states remaining obligations of ~\$0.8B running to 2030	NO — thesis overclaimed. The \$4.5B is real but includes ~\$3.0B contingent; firm demand is \$0.8B
That gap is the company hiding something	Red bench called it concealment; blue re-read both documents	The 10-Q states its own exclusion rule (options, indefinite-quantity work), and the press release discloses the \$3.0B contingent piece. Both venues published the reconciliation	NO — OUR BENCH ERRED. Our own red bench raised a masking flag on a difference that is definitional and fully disclosed
“Costs up 35.7% while revenue fell 20%”	Blue bench pulled the segment table directly	Wrong comparison: a segment-level cost line (which now carries the cost of the uranium sale) set against a product-level revenue line (enrichment only). Correct figures: segment revenue +16.4%, costs +28.4%, margin 39.8% → 33.6%	NO — OUR BENCH ERRED. The margin squeeze is real but ~6 points, not the collapse we described
Technical Solutions gross loss is fatal to the funding case	Six-month segment figures	Quarter is −\$1.7M (prior year +\$3.2M, which our red bench mis-derived as +\$2.9M). Six months is +\$1.9M on revenue up 8.3%	PARTIALLY — OUR BENCH ERRED on severity. A \$1.7M quarterly loss against

Claim	How checked	Found	Confirmed?
			\$1.87B of cash sizes a position; it does not kill a thesis
“17 analysts and 23% short = no edge, reject”	Checked against our own doctrine	Counting analysts is not doing the work. Our red bench produced no street number for the operative period and rejected on crowding instead	NO — OUR BENCH ERRED. The right test (do we differ from consensus?) was run later by blue — and we failed it. Right verdict, wrong road
Federal spending records show no DOE obligation	USAspending roll-up under Centrus / ACO / USEC, FY2026	Zero prime contracts	INCONCLUSIVE — and our red bench leaned on it anyway in its strongest paragraph after correctly labelling it weak. Either the money is not yet obligated or our entity match failed
Zero import arrivals confirm the supply blockage	Customs consignee resolution for the enrichment entity, 2025H1–2026H1	Consignee list came back empty	NO — OUR BENCH ERRED. An empty list cannot tell blockage apart from a broken connector. Read as corroboration when it is silence
Uranium sale margin unknown, so the quarter is unreadable	Bounded it arithmetically from the segment identity	Enrichment margin must sit between 35.6% (if uranium earned 30%) and 51.6% (if uranium earned nothing). Most of that range clears our own 40% bar	PARTIALLY — indeterminate, but the plausible range is not alarming
Enterprise value 17.2x gross profit	Recomputed at the pack price across three convertible treatments	15.1x / 16.1x / 16.9x at \$184.12 depending on treatment. Our red bench’s 17.2x used its own \$186.72 tape <i>and</i> a mixed treatment — one bond converted, one counted as debt	PARTIALLY — arithmetic sound, presentation inconsistent. Range is 15–17x, and higher if you strip the one-off uranium sale
Tape framing (drawdown)	Runner flagged a mismatch; blue adjudicated	Red’s +31.4% is correct off its own \$186.72; the pack’s 29.5% is correct off \$184.12. The runner’s “+52.0%” matched neither	CONFIRMED — the automated checker was the one in error
Satellite construction read at Piketon	sentinel2_buildout	Ran, returned a result — but the baseline scene was from January 2021, not the 2025 window requested, and the coordinates were flagged ~6km off the site	NO — UNUSABLE. Would have been recorded as a negative construction signal if nobody had looked at the metadata

Claim	How checked	Found	Confirmed?
Hiring scan	hiring_velocity, two sites	Piketon clean (43 reqs, 1→4→14→23/mo). Oak Ridge contaminated — returned rows for unrelated employers (Ameresco, a New York address)	PARTIALLY — Piketon only. Oak Ridge discarded
Live price	IBKR quote requested four times across three sessions	Permission denied every time	NO — OPEN GAP. Every price in this deck rests on a secondary tape, against our own rule that valuation work uses a live broker quote
Financial data supplied with the case	Evidence pack XBRL block	Vintage 2015–2017 — a decade stale	NO — PACK DEFECT. Both benches had to go fetch the real filing themselves

PROPOSED ENTRY BANDS

Both benches say no entry. There is no buy here and no short here. No short despite the valuation, because 23% short interest against \$1.87 billion of cash and an in-the-money convertible is exactly the squeeze setup our short rules exclude. Flat is the position.

What follows are the **reopen bands** — the prices and events that would put this back in front of the committee.

Price reopen — derived from the benches' own valuation math. Using 19.95M shares plus 4.13M from the in-the-money convertible, \$805M remaining debt, \$1,869M cash, and \$199.6M annualised gross profit:

Level	What it means	Reopen action
\$144–155	12x enterprise value to gross profit (the low end is the most punitive convertible treatment; also sits on the 52-week low of \$142.13)	Re-court as a starter candidate , valuation leg only
\$112	12x after stripping a 30%-margin contribution from the one-off uranium sale — i.e. 12x on <i>recurring</i> profit	Re-court with a full position case ; this is where the multiple is defensible without heroic assumptions
\$100	10x recurring	Deep-value re-court; would require the supply constraint to have cleared
\$231 (26-week high)	Breaks the range to the upside without the disclosure we asked for	Re-court on the upside — if it takes this out, our reject ground (no divergence from consensus) was wrong and we need to know why before it runs further

Proposed sizing if a reopen clears (not authorised now): 0.5% of book as a first tranche at the \$144–155 band, a second 0.5% only after a quarter that beats the \$459.3 million consensus, hard cap 1.5%. The cap is set by the 38% convertible dilution and the crowding, not by the valuation.

Non-price reopen conditions — any one of these puts it back on the calendar regardless of price:

1. A quarterly or annual filing that **reconciles company-defined backlog to the audited obligation figure**, splitting out the \$3.0 billion contingent piece and showing what is actually binding.
2. **Product-level gross profit disclosure** showing enrichment margin ex-uranium at or above 40%.
3. **Technical Solutions back to a positive gross margin** on the fixed-price order, with milestone payment timing disclosed.
4. A **DOE obligation appearing in federal spending records** under the operating subsidiary.
5. A **replacement supply agreement** for the Russian volumes at or below the 2018-adjusted contract price — or the export-licence suspension lapsing on schedule.
6. A **third-quarter result that breaks the \$459.3 million consensus in either direction**. This is the direct test of our reject ground.

One bench also proposed reopening only if short interest falls below 8% and coverage below 8 analysts. **We are not adopting that as a gate** — it is a crowding test, and crowding is not by itself a reason to own or avoid something. Flagging the disagreement rather than burying it.

Catalyst dates:

- **2026-11-04 (or 11-11) — third-quarter results. UNCONFIRMED.** This date is derived from a data vendor. No company announcement names it. Last year's third-quarter filing landed 2025-11-05. About 11–12 weeks out — nothing to do before then.
- **2027-12-31** — current expiry of the Russian export-licence suspension. The cost side changes here.
- **2028** — legacy Russian supply contract term ends; the 2018 pricing goes away.
- **2030** — X-energy deliveries begin (from the 8-K, primary); also the horizon of the audited obligation book.
- **March 2032** — deadline to deliver one metric ton of high-assay fuel under the \$900 million order.

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 100.0 (deck-provisional: 10x recurring gross profit; deep-value re-court, requires supply constraint cleared)

- filing watch: 10-Q,10-K until 2027-02-13 (deck-provisional: Reconciliation of company-defined backlog to audited remaining performance obligations, splitting out)
- dated pack LEU|2026-11-04: LEU: Third-quarter 2026 results — vendor-derived, no company announcement names it; prior-year Q3 filed 2025-11-05; alternate 2026-11-11 (da
- dated pack LEU|2027-12-31: LEU: Current expiry of Russian Decree No. 1516 suspending the TENEX US export licence — the cost side changes here (date confirmed=True)
- dated pack LEU|2028-12-31: LEU: Legacy TENEX supply contract term ends; 2018 pricing rolls off to market-linked replacement supply (date confirmed=False)
- dated pack LEU|2030-01-01: LEU: X-energy deliveries begin (year confirmed by 8-K, day invented); also the horizon of the \$0.8B audited obligation book (date confirmed=
- dated pack LEU|2032-03-31: LEU: Deadline to deliver 1 metric ton of high-assay fuel under the \$900M DOE task order (month from secondary source) (date confirmed=False)

What remains unverified

- **The live price.** Everything here is priced off a secondary tape at \$184.12 (one bench used \$186.72). Four denied broker requests.
- **The quarterly filing itself, at deck level.** Both benches read it through a proxy service after the SEC blocked direct fetches. I did not independently re-open it while writing this. Every audited figure quoted here is a bench read of the primary document, uncontested by the opposing bench — but not re-verified a third time.
- **The uranium sale's profit margin.** Not disclosed. This is the number that would resolve whether the quarter was good or merely dressed. The company chose not to publish it.
- **Whether the \$900 million is actually obligated.** Federal spending records show nothing. Could be timing, could be a failed name match. Unresolved.
- **Whether any import arrivals occurred.** Our customs check returned an empty list, which is not evidence of anything.
- **What the cascade earns per unit at full rate.** Centrus discloses no steady-state unit economics for the Ohio plant, so the actual prize — recurring enrichment output, not the capped government order — cannot be valued from public information. Stating this as a gap rather than filling it with an assumption.
- **Whether convertible holders are hedged.** No capped call or bond hedge appears in the filing. Absence of disclosure is not proof of absence.
- **The consensus figures themselves** come from aggregator sites, not from a primary estimate service. Our reject ground leans entirely on them.
- **Two competing detector proposals came out of this court and neither is settled.** One bench wants a rule that flags marketed backlog running far ahead of audited obligations; the other showed that same rule would fire falsely on nearly every company with government or contingent contracts, and proposed a blocking guard. The rule should only be adopted with the guard attached — otherwise we will manufacture this exact false alarm on the next name.

Primary source, quoted over any transcript or press release where they conflict: [10-Q for 6/30/2026, Centrus Energy Corp \(CIK 1065059\)](#) · [8-K dated 2026-08-06, X-energy supply contract](#)

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Bottom line for the adjudicator: the reject is correct, but three of the seven arguments our own bear bench made are artifacts — a false masking flag, a mixed-up revenue/cost comparison, and a rejection on crowding rather than on evidence — and its single strongest paragraph was built on two of them. The one reason that survives audit is the plainest one: we said the second-half slowdown was the decisive variable, and the street's estimate already contains it. We have no different number on the

question we ourselves chose. Pass, arm the ten missing sensors, and reopen on the November print or the \$144 band.